

## Online Appendix:

### S1. Robustness to Endogeneity in Network Formation using Examiner-Specified Citations

As discussed above, we adopted the instrumented network approach while specifying the network formation using ERGM with examiner experience as an instrument to address endogeneity in network formation. In this section, we additionally test the robustness of our results to the endogeneity in network formation by directly constructing the citation network using citations added by examiners alone, in their reviews of the focal patents. Given the exogenous nature of examiner assignment at the patent level, we could potentially use this approach in our main analysis. However, we do not have information on examiner specific citations for our entire sample of patents. Specifically, we obtain Examiner Citation Data available on Harvard Dataverse (Sampat 2012) that provides details on 25.9 million citations for patents granted between 2001 and 2010. This dataset includes identifiers for the cited and citing U.S. patents, the grant year of the citing patent, and an indication of whether the cited patent is cited by an examiner. Of the 25.9 million citations, 8.7 million citations, that is, about 33.62% of total citations are assigned by examiners.

Leveraging examiner-assigned citations alone from the above dataset, we initially construct an intersectoral citation network at the 4-digit SIC level for each year from 2001-2010. We then compute the ICT-Closeness for each of the non-ICT industries based on these networks. Finally, we estimate the impact of this ICT-Closeness of the non-ICT industries on their innovation outcomes. The results are presented in Table S4. We find that the impact of closeness to the ICT industry on all three innovation outcomes is positive and significant ( $p < 0.01$ ). These findings are consistent with our main results presented in Section 6.2.1, reinforcing the robustness of our analyses.

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Insert Table S4 here  
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### S2. Robustness to Alternate Industry Classifications

So far, in our analyses, we classify industries based on their SIC codes. This SIC-based classification of industries as ICT and non-ICT may lead to mismeasurement of closeness to the ICT industry arising

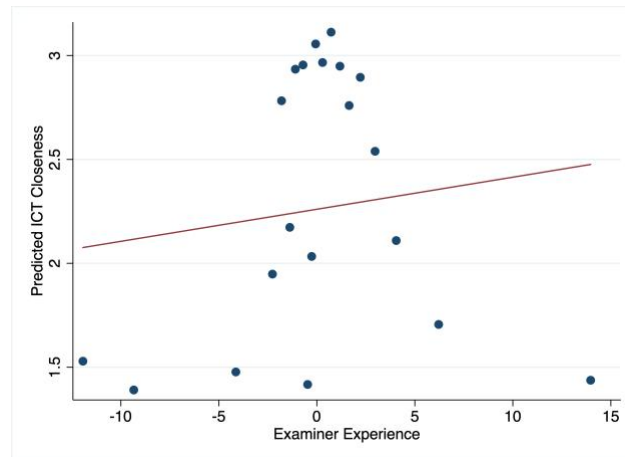
from ambiguity in classification of technology companies with a sectoral focus. For instance, Amazon being an e-commerce platform is categorized as a retail company based on its SIC code (5961). However, one may argue it to be a technology company based on its venture into the cloud market. Therefore, we further validate our findings using an alternate approach of classifying firms following Hoberg and Phillips (2016).

Hoberg and Phillips (2016) cluster firms based on product descriptions that appear under section 101 in firms' 10-K annual filings. For each year in their sample period (1996-2008), they use the textual similarity of 10-k filings between a pair of firms as the basis of cluster membership. This approach ensures that firms that are similar in terms of their product portfolios are included within the same cluster. We use their cluster outcome and identify each cluster as an industry in our analysis. Thereafter, we classify a cluster as an ICT industry if more than half of the firms of the cluster are ICT firms based on their SIC codes. While this approach does make use of the SIC codes to identify individual firms, it ensures that our characterization of ICT industry is more inclusive. For example, based on this analysis, Amazon is counted as part of ICT industry in the years 1999, 2000, 2006, 2007, and 2008. The reclassification of Amazon as an ICT company 2006 onwards is consistent with its launch of Amazon Web Services in 2006.

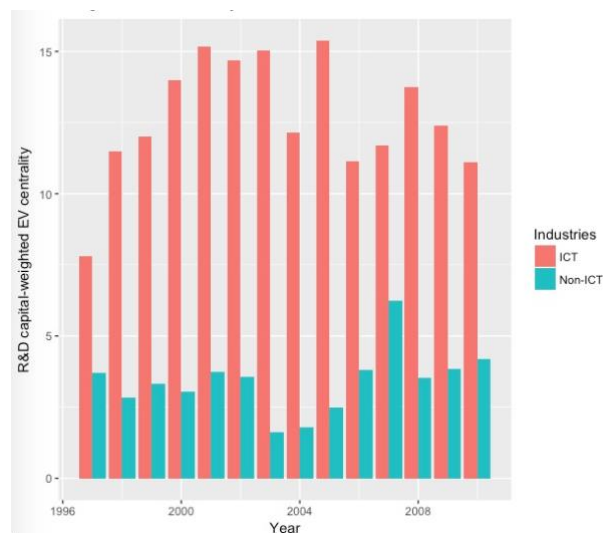
With this new industry classification, we replicate our analyses of estimating the impact of ICT-Closeness on innovation outcomes for non-ICT industries. As before, we verify the non-degeneracy of our simulated networks (obtained in the second stage of our instrumented network approach using ERGMs) by comparing the R&D weighted centralities of the simulated networks with those of the real networks. The plots are included in Figure S2. The regression results are reported in Table S5. We find the coefficient for closeness to the ICT industry is positive and significant for innovative efficiency ( $p < 0.01$ ) recombinant creation ( $p < 0.05$ ), and recombinant reuse ( $p < 0.01$ ), confirming the robustness to the industry classification schema.

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Insert Figure S2 and Table S5 here  
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## Figures



**Figure S1: Average ICT-Closeness (predicted by ERGM) using examiner experience residualized by industry and year.**



**Figure S2: R&D Capital weighted eigenvector centralities of the non-ICT (in blue) and the ICT (in red) industries; industries are represented by Hoberg-Philips clusters based on product descriptions; centralities are obtained from the simulated ERGM network.**

## Tables

**Table S1: Firm and industry-specific innovation outcome and other control variables**

| Firm-specific innovation outcomes                 |                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
|---------------------------------------------------|------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b><i>InnovationEfficiency<sub>f,y</sub></i></b>  | Innovation Efficiency of Firm <i>f</i> in Year <i>y</i>          | $\frac{Patents_{f,y}}{R\&D\ Capital_{f,y}}$ , where the numerator represents the total number of patents granted to the Firm <i>f</i> in year <i>y</i> . This value is normalized by the R&D Capital of the Firm <i>f</i> in year <i>y</i> .                                                                                                                                                                                                                                    |
| <b><i>Creation<sub>f,y</sub></i></b>              | Recombinant creation index of Firm <i>f</i> in Year <i>y</i>     | $\frac{\sum_{k=y-5}^{y-1} New\ Combinations\ Count_{f,k}}{Total\ Combinations_{f,y}}$ , where the numerator is the total number of times each pair of ICL classes, co-occurring in Firm <i>f</i> 's patents, granted in Year <i>y</i> , had not been used by Firm <i>f</i> in the past five years, Year ( <i>y</i> – 5) to ( <i>y</i> – 1). This count is normalized by the total number of ICL class pairs in Firm <i>f</i> 's patents, granted in Year <i>y</i> .             |
| <b><i>Reuse<sub>f,y</sub></i></b>                 | Recombinant reuse index of Firm <i>f</i> in Year <i>y</i>        | $\frac{\sum_{k=y-5}^{y-1} Repeated\ Combination\ Count_{f,k}}{Total\ Combinations_{f,y}}$ , where the numerator is the total number of times each pair of ICL classes, co-occurring in Firm <i>f</i> 's patents, granted in Year <i>y</i> , had already been used by the Firm <i>f</i> in the past five years, Year ( <i>y</i> – 5) to ( <i>y</i> – 1). This count is normalized by the total number of ICL class pairs in Firm <i>f</i> 's patents, granted in Year <i>y</i> . |
| Industry-specific innovation outcomes             |                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| <b><i>InnovationEfficiency<sub>i,y</sub></i></b>  | Innovation Efficiency of Industry <i>i</i> in Year <i>y</i>      | The average innovation efficiency of firms in industry <i>i</i> in Year <i>y</i> .                                                                                                                                                                                                                                                                                                                                                                                              |
| <b><i>Creation<sub>i,y</sub></i></b>              | Recombinant creation index of Industry <i>i</i> in Year <i>y</i> | The average recombinant creation index of firms in Industry <i>i</i> in Year <i>y</i> .                                                                                                                                                                                                                                                                                                                                                                                         |
| <b><i>Reuse<sub>i,y</sub></i></b>                 | Recombinant reuse index of Industry <i>i</i> in Year <i>y</i>    | The average recombinant reuse index of firms in Industry <i>i</i> in Year <i>y</i> .                                                                                                                                                                                                                                                                                                                                                                                            |
| Industry-specific performance variables           |                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| <b><i>CF<sub>i,y</sub></i></b>                    | Cash flow of Industry <i>i</i> in Year <i>y</i>                  | The average cash flow of firms in Industry <i>i</i> in Year <i>y</i> .                                                                                                                                                                                                                                                                                                                                                                                                          |
| <b><i>CF_Spread<sub>i,y</sub></i></b>             | Cash flow spread of Industry <i>i</i> in Year <i>y</i>           | The difference in cash flow between the firms performing at the 25th percentile and the firms performing at the 75th percentile in Industry <i>i</i> in Year <i>y</i> .                                                                                                                                                                                                                                                                                                         |
| <b><i>CF_Vol<sub>i,y</sub></i></b>                | Cash flow volatility of Industry <i>i</i> in Year <i>y</i>       | The three-year standard deviation in cash flow, $\sigma_{iy} = \sqrt{\frac{1}{(3-1)} \sum_{\tau=1}^3 (\gamma_{y+\tau,i} - \bar{\gamma}_{y,i})^2}$ where $\bar{\gamma}_{y,i}$ is the mean cash flow of Industry <i>i</i> between years ( <i>y</i> + 1) and ( <i>y</i> + 3).                                                                                                                                                                                                      |
| Time-varying, industry-specific control variables |                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| <b><i>RnDInt<sub>i,y</sub></i></b>                | R&D intensity                                                    | The average R&D intensity of the firms in Industry <i>i</i> in Year <i>y</i> , where the R&D intensity of a firm in a year is defined as the ratio of its <i>R&amp;D expenses</i> to its <i>sales</i> for that year.                                                                                                                                                                                                                                                            |
| <b><i>MktInt<sub>i,y</sub></i></b>                | Marketing intensity                                              | The average marketing intensity of the firms in Industry <i>i</i> in Year <i>y</i> , where the marketing intensity of a firm in a year is the ratio of its <i>selling, general, and administrative expenses</i> to its <i>sales</i> for that year.                                                                                                                                                                                                                              |

|                       |                                                                              |                                                                                                                                                                                                                                                                                                                                                                                                                                |
|-----------------------|------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| $BTM_{i,y}$           | Book-to-Market ratio                                                         | The average $\ln(\text{Book-to-Market ratio})$ of the firms in Industry $i$ in Year $y$ , where the Book-to-Market ratio of a firm is the ratio of its <i>book value of equity</i> to its <i>market value of equity</i> for that year.                                                                                                                                                                                         |
| $ME_{i,y}$            | Market value of equity                                                       | The average $\ln(\text{Market value of Equity})$ of the firms in Industry $i$ in Year $y$ .                                                                                                                                                                                                                                                                                                                                    |
| $ROA_{i,y}$           | Return on Assets                                                             | The average Return on Assets of the firms in Industry $i$ in Year $y$ .                                                                                                                                                                                                                                                                                                                                                        |
| $AT_{i,y}$            | Total Assets                                                                 | The average $\ln(\text{Total Assets})$ of the firms in Industry $i$ in Year $y$ .                                                                                                                                                                                                                                                                                                                                              |
| $SaleHHI_{i,y}$       | Sales HHI                                                                    | The Sale HHI for Industry $i$ in Year $y$ is computed as, $\sum_{f \in i} (\text{SalesRatio}_{f,y})^2$ , where $\text{SalesRatio}_{f,y} = \frac{\text{Sales}_{f,y}}{\sum_{f \in i} \text{Sales}_{f,y}}$ and $f$ is the index of firms in Industry $i$ . Sale HHI measures the concentration of the industry in terms of sales.                                                                                                 |
| $PatHHI_{i,y}$        | Patent HHI                                                                   | The Patent HHI for Industry $i$ in Year $y$ is computed as, $\sum_{f \in i} (\text{PatentRatio}_{f,y})^2$ , where $\text{PatentRatio}_{f,y} = \frac{N\text{Pat}_{f,y}}{\sum_{f \in i} N\text{Pat}_{f,y}}$ , $f$ is the index of firms in Industry $i$ , and $N\text{Pat}_{f,y}$ is the total number of patents of Firm $f$ granted in Year $y$ . Patent HHI measures the concentration of the industry in terms of innovation. |
| $ITCapital_{i,y}$     | IT Capital                                                                   | The proportion of IT input (in USD) that is required by Industry $i$ in Year $y$ to produce a dollar of that industry's output.                                                                                                                                                                                                                                                                                                |
| $NoICTCapDummy_{i,y}$ | A binary variable indicating whether ICT capital is missing for the industry | This is 1 if ICT intensity is not available for Industry $i$ in Year $y$ ; otherwise it is zero.                                                                                                                                                                                                                                                                                                                               |
| $\partial(X_{i,y})$   | $\partial: \mathbb{R} \rightarrow \mathbb{R}$                                | The function $\partial$ is defined as, $\partial(X_{i,y}) = X_{i,y} - X_{i,y-1}$ , where $i$ is an index of an industry, $y$ is an index of a year, and $X$ is the name of the measure.                                                                                                                                                                                                                                        |

Table S2: Top 5 central industries during 1981 – 2010

| Rank of Eigenvector Centrality→ | 1    | 2    | 3    | 4    | 5    |
|---------------------------------|------|------|------|------|------|
| Year↓                           | SIC2 | SIC2 | SIC2 | SIC2 | SIC2 |
| 1976                            | 36   | 35   | 73   | 37   | 38   |
| 1977                            | 36   | 35   | 73   | 48   | 37   |
| 1978                            | 36   | 35   | 73   | 48   | 38   |
| 1979                            | 36   | 35   | 73   | 38   | 37   |
| 1980                            | 36   | 35   | 73   | 48   | 38   |
| 1981                            | 36   | 35   | 73   | 38   | 48   |
| 1982                            | 36   | 35   | 73   | 38   | 37   |
| 1983                            | 36   | 35   | 73   | 38   | 48   |
| 1984                            | 36   | 35   | 73   | 38   | 37   |
| 1985                            | 36   | 35   | 38   | 73   | 48   |
| 1986                            | 36   | 35   | 38   | 73   | 48   |
| 1987                            | 36   | 35   | 38   | 73   | 48   |
| 1988                            | 35   | 36   | 38   | 73   | 37   |

| 1989               | 35          | 36                                                                                                             | 38 | 73 | 37 |
|--------------------|-------------|----------------------------------------------------------------------------------------------------------------|----|----|----|
| 1990               | 35          | 36                                                                                                             | 73 | 38 | 37 |
| 1991               | 35          | 36                                                                                                             | 73 | 38 | 37 |
| 1992               | 35          | 36                                                                                                             | 73 | 38 | 37 |
| 1993               | 36          | 35                                                                                                             | 73 | 38 | 37 |
| 1994               | 36          | 73                                                                                                             | 35 | 38 | 37 |
| 1995               | 36          | 73                                                                                                             | 35 | 38 | 37 |
| 1996               | 73          | 36                                                                                                             | 35 | 38 | 37 |
| 1997               | 73          | 36                                                                                                             | 35 | 38 | 37 |
| 1998               | 73          | 36                                                                                                             | 35 | 38 | 37 |
| 1999               | 36          | 73                                                                                                             | 35 | 38 | 48 |
| 2000               | 36          | 73                                                                                                             | 35 | 38 | 48 |
| 2001               | 36          | 73                                                                                                             | 35 | 38 | 48 |
| 2002               | 36          | 73                                                                                                             | 35 | 38 | 48 |
| 2003               | 36          | 35                                                                                                             | 73 | 38 | 48 |
| 2004               | 36          | 35                                                                                                             | 73 | 38 | 48 |
| 2005               | 36          | 35                                                                                                             | 73 | 38 | 48 |
| 2006               | 36          | 35                                                                                                             | 73 | 38 | 48 |
| 2007               | 36          | 35                                                                                                             | 73 | 38 | 48 |
| 2008               | 36          | 73                                                                                                             | 35 | 38 | 48 |
| 2009               | 73          | 36                                                                                                             | 35 | 38 | 48 |
| 2010               | 73          | 36                                                                                                             | 35 | 38 | 48 |
| SIC (2 digit) Code | ICT/Non-ICT | Industry Description                                                                                           |    |    |    |
| 13                 | Non-ICT     | Oil and Gas Extraction                                                                                         |    |    |    |
| 26                 | Non-ICT     | Paper and Allied Products                                                                                      |    |    |    |
| 28                 | Non-ICT     | Chemicals and Allied Products                                                                                  |    |    |    |
| 29                 | Non-ICT     | Petroleum Refining and Related Industries                                                                      |    |    |    |
| 35                 | ICT         | Industrial and Commercial Machinery and Computer Equipment                                                     |    |    |    |
| 36                 | ICT         | Electronic and other Electrical Equipment and Components except Computer Equipment                             |    |    |    |
| 37                 | Non-ICT     | Transportation Equipment                                                                                       |    |    |    |
| 38                 | ICT         | Measuring, Analyzing, and Controlling Instruments; Photographic, Medical and Optical Goods; Watches and Clocks |    |    |    |
| 48                 | ICT         | Communications                                                                                                 |    |    |    |
| 73                 | ICT         | Business Services                                                                                              |    |    |    |
| 99                 | Non-ICT     | Non-classifiable Establishments                                                                                |    |    |    |

**Table S3: Correlation matrix of all independent variables**

| <b>Variable</b>      | <i>ICTCloseness</i> | <i>EVCent.</i> | <i>MktInt</i> | <i>RnDInt</i> | <i>PatHHI</i> | <i>SaleHHI</i> | <i>AT</i> | <i>ME</i> | <i>BTM</i> | <i>ROA</i> | <i>ITCap.</i> | <i>NoICTCap.</i> |
|----------------------|---------------------|----------------|---------------|---------------|---------------|----------------|-----------|-----------|------------|------------|---------------|------------------|
| <i>ICTCloseness</i>  | 1                   |                |               |               |               |                |           |           |            |            |               |                  |
| <i>EVCentrality</i>  | 0.284               | 1              |               |               |               |                |           |           |            |            |               |                  |
| <i>MktInt</i>        | 0.092               | 0.011          | 1             |               |               |                |           |           |            |            |               |                  |
| <i>RnDInt</i>        | 0.090               | 0.006          | 0.218         | 1             |               |                |           |           |            |            |               |                  |
| <i>PatHHI</i>        | 0.302               | 0.038          | -0.032        | -0.034        | 1             |                |           |           |            |            |               |                  |
| <i>SaleHHI</i>       | 0.371               | 0.143          | 0.031         | 0.061         | 0.095         | 1              |           |           |            |            |               |                  |
| <i>AT</i>            | 0.179               | 0.105          | 0.149         | 0.081         | 0.166         | 0.070          | 1         |           |            |            |               |                  |
| <i>ME</i>            | 0.242               | 0.069          | 0.064         | 0.027         | 0.196         | 0.1215         | 0.7705    | 1         |            |            |               |                  |
| <i>BTM</i>           | 0.063               | 0.107          | 0.058         | 0.034         | 0.094         | 0.056          | 0.235     | 0.044     | 1          |            |               |                  |
| <i>ROA</i>           | 0.009               | 0.003          | -0.028        | -0.001        | -0.018        | -0.020         | 0.036     | 0.022     | -0.005     | 1          |               |                  |
| <i>ITCapital</i>     | -0.028              | -0.006         | 0.041         | 0.003         | 0.005         | 0.039          | -0.032    | -0.010    | -0.028     | -0.0129    | 1             |                  |
| <i>NoICTCapDummy</i> | -0.043              | 0.076          | -0.016        | -0.027        | 0.035         | 0.036          | -0.038    | -0.063    | 0.040      | 0.0078     | -0.094        | 1                |

**Table S4: Regressions of R&D outcomes with Examiner Citation Network for the years 2002-2010**

| Dependent variable →<br>Independent variable ↓ | (I)<br>$\ln(IEff_{i,y})$ | (II)<br>$Reuse_{i,y}$ | (III)<br>$Creation_{i,y}$ |
|------------------------------------------------|--------------------------|-----------------------|---------------------------|
| $ICTCloseness_{i,y-1}$                         | 0.099**<br>(0.045)       | 0.108***<br>(0.039)   | 0.0386***<br>(0.011)      |
| $EVCentrality_{i,y-1}$                         | -0.027<br>(0.044)        | 0.045<br>(0.039)      | -0.001<br>(0.010)         |
| $MktInt_{i,y-1}$                               | 0.004<br>(0.085)         | 0.069<br>(0.076)      | 0.031<br>(0.020)          |
| $RnDInt_{i,y-1}$                               | 0.004<br>(0.056)         | -0.042<br>(0.050)     | -0.002<br>(0.013)         |
| $PatHHI_{i,y-1}$                               | 0.028<br>(0.037)         | -0.035<br>(0.033)     | -0.003<br>(0.009)         |
| $SaleHHI_{i,y-1}$                              | -0.223***<br>(0.073)     | -0.028<br>(0.064)     | -0.035**<br>(0.017)       |
| $AT_{i,y-1}$                                   | 0.231**<br>(0.113)       | -0.056<br>(0.100)     | 0.085***<br>(0.027)       |
| $ME_{i,y-1}$                                   | -0.068<br>(0.073)        | -0.0233<br>(0.065)    | -0.015<br>(0.017)         |
| $BTM_{i,y-1}$                                  | 0.065<br>(0.045)         | -0.014<br>(0.040)     | -0.010<br>(0.011)         |
| $ROA_{i,y-1}$                                  | 0.067<br>(0.057)         | 0.004<br>(0.050)      | 0.011<br>(0.014)          |
| $ITCapital_{i,y-1}$                            | -0.092*<br>(0.048)       | 0.007<br>(0.042)      | -0.001<br>(0.011)         |
| $NoICTCapDummy_{i,y-1}$                        | 0.031<br>(0.052)         | 0.051<br>(0.046)      | -0.015<br>(0.012)         |
| $IEff_{i,y-1}$                                 | 0.307***<br>(0.057)      |                       |                           |
| $\partial(IEff_{i,y-1})$                       | -0.050<br>(0.033)        |                       |                           |
| $Reuse_{i,y-1}$                                |                          | 1.888***<br>(0.0490)  |                           |
| $\partial(Reuse_{i,y-1})$                      |                          | -0.269***<br>(0.0216) |                           |
| $Creation_{i,y-1}$                             |                          |                       | -0.060***<br>(0.012)      |
| $\partial(Creation_{i,y-1})$                   |                          |                       | 0.030***<br>(0.009)       |
| $Constant$                                     | -0.173<br>(0.525)        | 15.010***<br>(0.790)  | 0.165<br>(0.124)          |
| $Industry\ Fixed\ Effects$                     | Yes                      | Yes                   | Yes                       |
| $Year\ Fixed\ Effects$                         | Yes                      | Yes                   | Yes                       |
| $Observations$                                 | 2,273                    | 2,273                 | 2,273                     |
| $R-squared$                                    | 0.584                    | 0.809                 | 0.492                     |

*Robust Standard errors in parentheses*

\*\*\*  $p < 0.01$ , \*\*  $p < 0.05$ , \*  $p < 0.1$

**Table S5: Stage 2 output of the instrumented network approach — regressions of R&D outcomes considering Hoberg-Philips product description-based clusters**

| Dependent variable →<br>Independent variable ↓ | (I)<br>$\ln(IEff_{i,y})$ | (II)<br>$Reuse_{i,y}$ | (III)<br>$Creation_{i,y}$ |
|------------------------------------------------|--------------------------|-----------------------|---------------------------|
| $ICTCloseness_{i,y-1}$                         | 0.292***<br>(0.082)      | 0.118***<br>(0.041)   | 0.041**<br>(0.020)        |
| $EVCentrality_{i,y-1}$                         | -0.017<br>(0.060)        | 0.005<br>(0.030)      | 0.002<br>(0.015)          |
| $MktInt_{i,y-1}$                               | -0.014<br>(0.043)        | -0.013<br>(0.022)     | -2.68e-05<br>(0.011)      |
| $RnDInt_{i,y-1}$                               | 0.012<br>(0.045)         | -0.001<br>(0.023)     | -0.001<br>(0.011)         |
| $PatHHI_{i,y-1}$                               | -0.116<br>(0.094)        | 0.006<br>(0.047)      | -0.014<br>(0.023)         |
| $SaleHHI_{i,y-1}$                              | 0.124<br>(0.096)         | 0.108**<br>(0.048)    | -0.029<br>(0.023)         |
| $AT_{i,y-1}$                                   | 0.016<br>(0.225)         | -0.152<br>(0.113)     | -0.011<br>(0.055)         |
| $ME_{i,y-1}$                                   | -0.319<br>(0.209)        | 0.255**<br>(0.105)    | -0.008<br>(0.051)         |
| $BTM_{i,y-1}$                                  | -0.009<br>(0.056)        | -0.045<br>(0.028)     | 0.029**<br>(0.014)        |
| $ROA_{i,y-1}$                                  | 0.079<br>(0.049)         | 0.025<br>(0.024)      | -0.013<br>(0.012)         |
| $IEff_{i,y-1}$                                 | 0.157***<br>(0.059)      |                       |                           |
| $\partial(IEff_{i,y-1})$                       | 0.045<br>(0.046)         |                       |                           |
| $Reuse_{i,y-1}$                                |                          | 0.020<br>(0.045)      |                           |
| $\partial(Reuse_{i,y-1})$                      |                          | 0.031<br>(0.027)      |                           |
| $Creation_{i,y-1}$                             |                          |                       | -0.066***<br>(0.017)      |
| $\partial(Creation_{i,y-1})$                   |                          |                       | 0.059***<br>(0.014)       |
| <i>Constant</i>                                | 1.132***<br>(0.396)      | 0.512***<br>(0.199)   | 0.746***<br>(0.097)       |
| <i>Industry Fixed Effects</i>                  | Yes                      | Yes                   | Yes                       |
| <i>Year Fixed Effects</i>                      | Yes                      | Yes                   | Yes                       |
| <i>Observations</i>                            | 1,341                    | 1,341                 | 1,341                     |
| <i>R-squared</i>                               | 0.807                    | 0.670                 | 0.412                     |

*Robust standard errors in parentheses*

\*\*\*  $p < 0.01$ , \*\*  $p < 0.05$ , \*  $p < 0.1$